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● Japan Daily Brief

Friday, August 28, 2026

RE: Japan FX intervention record ¥15.3T · BOJ September hike signals · Hiroshima defense hub · Freedom Edge trilateral · CDP merger collapse

NIKKEI 225
66,405.56
▲ +1.34%
as of Aug 28

USD/JPY
159.98
▲ +0.68%
as of Aug 28

EUR/JPY
185.62
— flat

BRENT
\$88.26
▼ -4.24%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Japan's Finance Ministry disclosed a record ¥15.3 trillion (\$96.5 billion) in yen-buying intervention over July-August, with the finance minister confirming G20 attendance and calling the intervention statement 'still valid.'
- 2 BOJ Deputy Governor Himino warned of greater inflation risks and kept the door open to a September rate hike, while BOJ board member Tamura — not Governor Ueda — will attend Jackson Hole.
- 3 Japan acquired a former Nippon Steel site in Hiroshima for an 'integrated defense hub,' with Defense Minister Koizumi calling the project of 'critical importance to Japan's national security.'

TOP STORIES

DEFENSE

Japan acquires former Nippon Steel Hiroshima site for 'integrated defense hub'

Japan inked a deal to acquire the former Nippon Steel site in Hiroshima to establish a multifunctional integrated defense hub, with Defense Minister Shinjiro Koizumi stating the project is of 'critical importance to Japan's national security.' Separately, Japan announced plans to add 400 beds to Self-Defense Force hospitals for emergency preparedness.

So what: *The Hiroshima hub acquisition advances Japan's defense-industrial consolidation under the ongoing Three Strategic Documents buildup, with the site's scale and location relevant to southwest Japan contingency planning.*

per The Japan Times: "[Japan inks deal to acquire former Nippon Steel site for 'integrated defense hub'](#)"

THE JAPAN TIMES

US, South Korea, and Japan confirm Freedom Edge 2026 trilateral drill for September near Jeju

South Korea, Japan, and the United States confirmed the Freedom Edge 2026 joint military exercise will be held in early September near Jeju Island, focused on countering North Korean nuclear and missile threats; the drill proceeds despite Trump's concurrent diplomatic outreach to Kim Jong Un. North Korea separately condemned a planned US arms sale to South Korea and vowed a 'powerful response,' per NHK.

So what: Freedom Edge 2026 will be the clearest near-term signal of US-Japan-ROK trilateral cohesion at a moment when Trump's Pyongyang outreach and curtailed US-ROK drills earlier in August raised alliance-management questions in Tokyo.

per Reuters: "South Korea, Japan and US to hold North Korea-focused nuclear missile drill - Reuters"

REUTERS

POLITICS-DIET

CDP formally withdraws from three-way opposition merger with CRA and Komeito

The Constitutional Democratic Party formally notified the Centrist Reform Alliance and Komeito of its decision to exit the planned three-way merger, collapsing a consolidation that was supposed to have been completed by now. The breakdown reshapes Japan's opposition landscape ahead of any future electoral test of the Takaichi cabinet.

So what: A fragmented opposition reduces near-term Diet pressure on the Takaichi government but removes a potential unified electoral threat, with the Okinawa governor race now serving as the next gauge of anti-LDP sentiment.

per The Japan Times: "Why Japan's centrist opposition parties can't get along with one another"

THE JAPAN TIMES

⚡ OVERNIGHT FLASH

POLITICS/DIET · NIKKEI ASIA

Japan births rise for first time in 11 years — 0.8% gain in first half

First-half 2026 births in Japan rose 0.8% year-on-year, the first increase in 11 years, per Health Ministry data reported by Jiji Press and Nikkei Asia. Nursery school waiting lists grew for the first time in nine years — up 181 to 2,435 — driven by a sharp increase in Tokyo, suggesting demand is outpacing the childcare infrastructure built during the downturn.

STAT OF THE DAY

¥15.3T

Record yen-buying FX intervention, July-August 2026

Japan's Finance Ministry confirmed the largest single-month-window yen intervention on record, equivalent to approximately \$96.5 billion, as USD/JPY remains near 160.

Source: (Update) Japan Spends Record 15.3 T. Yen in July-Aug. Forex Interventions — JIJI PRESS

REGIONAL PRESSURE WATCH

Normal — 38 items (15 Japanese government, 23 adversary signal)

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi chaired a meeting of the Emergency Headquarters for the 2026 Kumamoto Earthquake and a Meeting of Relevant Ministers on Heavy Rain in Chiba, per the Prime Minister's Office, while the Kuwait Foreign Minister paid a courtesy call on her at the Kantei.

CHINA

A CCP official stated that China's policy toward Japan 'remains unchanged' following last week's cross-party Japanese lawmaker visit to Beijing — the first since bilateral ties deteriorated after PM Takaichi's November Taiwan remarks — with China's Foreign Ministry indicating 'relevant authorities' would release information on the meeting 'in due course,' signaling no substantive breakthrough. No new Senkaku CCG intrusion was reported in today's feed.

NORTH KOREA

The US, South Korea, and Japan confirmed Freedom Edge 2026 will proceed in early September near Jeju Island, focused on nuclear and missile threat scenarios from North Korea; North Korea separately condemned a planned US arms sale to South Korea and vowed a 'powerful response,' extending its rhetorical pressure campaign.

RUSSIA

No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island remain the baseline, with Foreign Minister Motegi departing Saturday for a four-country tour.

Senkaku / ECS: No new CCG intrusion or Senkaku incident reported in today's articles; baseline of near-continuous CCG contiguous-zone patrols continues.

Bottom line: The dominant near-term security signal is Freedom Edge 2026's September confirmation, which tests trilateral cohesion simultaneously with Trump's North Korea outreach; on the economic front, Japan's record ¥15.3T FX intervention and BOJ rate-hike signals converge ahead of the G20 finance ministers' meeting.

EXPERT ANALYSTS

OP-EDS & THINK TANK COMMENTARY

FOREIGN POLICY

Japan's Narrowing Path to Permanent Residency

Japan's immigration rules continue to restrict foreign workers from accessing permanent residency, limiting the country's capacity to address demographic decline through labor immigration.

The piece examines the structural barriers facing foreign workers seeking permanent residency in Japan, arguing that despite labor shortages and record-low birth rates, the legal pathway remains narrow and bureaucratically difficult. It connects Japan's demographic emergency — underscored by today's news that births rose for the first time in 11 years — to the structural constraints on immigration as a policy lever. The piece notes that without reform, Japan's reliance on a shrinking domestic workforce will intensify.

Relevant to the Takaichi government's economic security and growth agenda, and to the portfolio of Minister for Economic Security Kimi Onoda, who also handles foreign residents policy coordination.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 39d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 43d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—
Nikkei	58%	37%	—
Asahi	53%	35%	—

Discourse: The CDP's formal withdrawal from the three-way opposition merger collapses the centrist bloc, while PM Takaichi's consultations with LDP executives ahead of an expected Cabinet reshuffle suggest an imminent political reconfiguration intended to shore up party management.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · FRIDAY, AUGUST 28, 2026

財務省 · MINISTRY OF FINANCE · *Finance Minister (name not specified in today's articles)*

Finance minister confirms G20 attendance; reaffirms yen intervention stance

Japan's finance minister confirmed attendance at the G20, stating the government's yen intervention statement remains 'still valid' as markets focus on a planned US-Japan finance ministers' meeting on the sidelines.

→ Google News ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Minoru Kihara, Chief Cabinet Secretary*

Chief Cabinet Secretary Kihara holds morning press conference (Aug. 27)

Chief Cabinet Secretary Kihara held the regular morning press conference on August 27; the government also approved use of contingency funds to support Kumamoto earthquake recovery, one month after the major earthquake struck the prefecture.

→ Kantei ↗

UPCOMING

SEP 1	Freedom Edge 2026 trilateral drill (US-Japan-ROK) — near Jeju Island The US, South Korea, and Japan will conduct Freedom Edge 2026, a nuclear and missile defense-focused trilateral exercise near Jeju Island in early September, proceeding despite Trump's concurrent diplomatic outreach to Pyongyang.
AUG 29	Foreign Minister Motegi departs on four-country tour Foreign Minister Motegi begins a diplomatic tour of four countries starting Saturday; destinations not specified in today's articles.
SEP 15	BOJ Monetary Policy Meeting — September hike decision Markets are pricing a September rate hike following Deputy Governor Himino's inflation warnings and Jiji's reporting that Himino 'hints at rate hike in Sept.'; the exact MPC date is not specified in today's articles (estimated mid-September).
SEP 1	G20 Finance Ministers' Meeting — Japan finance minister and BOJ chief attending Japan's finance minister and BOJ Governor Ueda are both attending the G20; market focus is on a bilateral US-Japan finance ministers' meeting on the sidelines, where yen intervention policy and FX statements are expected to be discussed.
SEP 5	Okinawa governor race — campaigning underway, result a test for PM Takaichi Campaigning has begun for the Okinawa gubernatorial election; the outcome is described as a key political test for PM Takaichi given its implications for the ongoing Futenma relocation dispute and Okinawa-base politics.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel	50%	SECTION 232
Aluminum	50%	SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 301 forced-labor tariff entered into force July 24, 2026; Section 122 surcharge expired July 24, 2026

WIRE

BUSINESS & ECONOMY

FINANCE · THE JAPAN TIMES · NIPPON LIFE INSURANCE

Nippon Life open to becoming net JGB buyer next fiscal year as unrealized losses ease

Nippon Life Insurance, which has held off adding to JGB holdings for two years following unrealized losses, said it is adjusting its stance and is open to becoming a net buyer of Japanese government bonds next fiscal year. The shift comes as JGB 10-year yields stand at 1.50% and BOJ rate-hike signals intensify.

SEMICONDUCTORS · THE JAPAN TIMES · SK HYNIX, KIOXIA HOLDINGS

SK Hynix weighs closer ties with Japan memory sector; CEO signals no fixed Kioxia plans

SK Hynix CEO Kwak Noh-jung said the company has no 'fixed plans' for its significant indirect stake in Kioxia Holdings but is weighing closer ties with Japan's memory industry. The statement leaves open the strategic question of South Korean-Japanese semiconductor industrial alignment amid US export-control pressures on China.

INDO-PACIFIC

KOREA-JAPAN · THE JAPAN TIMES

South Korea backs Trump's bid to revive North Korea talks as Seoul-Tokyo-Washington alignment tested

South Korea publicly backed Trump's effort to revive diplomatic talks with North Korea, a posture that intersects with Freedom Edge 2026 proceeding as scheduled despite the diplomatic context.

DPRK · JIJI PRESS

North Korea condemns US arms sale to South Korea, vows 'strong response'

North Korea formally condemned a planned US arms sale to South Korea and pledged a 'powerful response,' extending its pattern of statements targeting US-ROK defense cooperation during the Freedom Edge planning period.

ALSO TODAY / THE WIRE

KOREA-JAPAN · NIKKEI ASIA

Seoul confirms US-Japan-ROK joint military drills

Seoul's announcement of Freedom Edge 2026 drills, confirmed by Nikkei Asia, reinforces the trilateral security architecture despite tensions over Trump's North Korea diplomacy.

ECONOMY-BOJ · NIKKEI ASIA

Record yen intervention leaves Japanese investors divided on foreign-asset strategy

Following the record ¥15.3 trillion intervention, Japanese institutional investors are divided on whether to maintain or reduce foreign-asset exposure, with some seeking new hedging strategies for a prolonged era of yen weakness.